



Time: 5 minutes

Outcome: Evaluate currency drain, excess reserves, leverage risk, and multiplier slippage.

Difficulty: Intermediate

Limits of Monetary Control

THE CORE IDEA

The central bank influences broad money, but banks and the public also determine lending, deposits, and currency holdings. Excess reserve holding and currency drain weaken the simple deposit-expansion process. Banks with little capital may be especially cautious about losses and lending. These choices prevent a mechanical link from new reserves to a fixed amount of broad money.

HOW TO RECOGNIZE IT

- The Fed influences the money supply, but banks and depositors affect reserves, lending, and deposits.
- When banks hold more excess reserves, they lend less, so deposit creation weakens.
- The Fed can influence money creation, but banks and the public also matter.
- The central bank adds reserves, but banks choose to hold much of them as excess reserves.
- Households convert part of each new bank deposit into currency rather than leaving the funds in banks.

WATCH OUT

Do not treat the central bank as having mechanical one-for-one control over broad money. The central bank controls its own balance sheet and reserve conditions more directly than broad money, which also depends on banks, borrowers, and the public.

WORKED EXAMPLE: WHY MONEY EXPANSION FALLS SHORT

The Fed adds \$40 million of reserves, but banks hold half as excess reserves and the public keeps some funds as cash. Because only part of the injection supports new loans and redeposits, broad money rises by less than the simple multiplier predicts. The Fed controls reserves more directly than it controls deposits held by the public. A bank with a thin capital cushion may also limit new lending to reduce its exposure to losses.

CHECK YOURSELF

Why is Fed control of the money supply imperfect?